

Tax Checklist for Business Owners

The Complete Guide to Filing With Confidence



Part 1: Know Your Entity Before You File

Introduction

Tax season is that one time of year where your business knowledge suddenly feels incomplete. You know you made money. You know you spent money. You know you're supposed to do something with the IRS. But right about now, you're staring at a screen asking yourself: Which form do I even start with?

That's not a knowledge problem. That's a navigation problem. And it's exactly why most small business owners delay filing, miss deductions, or worse — file wrong and face corrections six months later.

Here's the uncomfortable truth: the IRS doesn't care that you're not an accountant. They only care that you file correctly. And "correctly" means something completely different depending on whether you operate as a sole proprietor, an LLC, or an S-corp. Use the wrong form, and you're not just inefficient — you're filing incorrectly.

This guide solves the navigation problem. No accounting jargon. No "talk to your CPA" deferrals. Just: here's your entity type, here's every form you need, here's the exact order to complete them, and here's what each line means in plain English.

By the time you finish this guide, you'll walk into tax season with a completed checklist, zero ambiguity about which forms to file, and the confidence to sign your name on every submission.

Your first job isn't to do your taxes. Your first job is to know what kind of business you have.



Chapter 1: Find Your Entity Type in Five Minutes

Every tax form in the United States starts with one question: what kind of business are you? The IRS recognizes five main entity types, and your answer determines everything from which forms you file to how much tax you pay to whether you need to make quarterly estimated payments.

Use this decision tree. Answer each question honestly, and you'll land on your entity type in about five minutes.

Step 1: Did you form a business entity with your state?

Go to your state's Secretary of State website and search for your business name. If you filed articles of incorporation, articles of organization, or a certificate of formation, you have a formal entity.

- **Yes** → Go to Step 2
- **No** → You are a sole proprietor. Stop here.

Step 2: What type of entity did you register?

- **LLC (Limited Liability Company)** → Go to Step 3
- **Corporation (C-Corp)** → You file Form 1120. This guide focuses on pass-through entities, so consult a CPA for corporation filing.
- **S-Corporation** → You file Form 1120-S. Continue to Step 3.

Step 3: How many owners does your LLC or S-Corp have?

- **One owner** → You are a single-member LLC or a single-owner S-Corp.
- **Two or more owners** → Go to Step 4.

Step 4: How is your multi-owner business structured for tax purposes?

- **Partnership (default for multi-member LLCs)** → You file Form 1065 and issue Schedule K-1s to each partner.
- **S-Corporation** → You file Form 1120-S and issue Schedule K-1s to each shareholder.

Your Entity Type Cheat Sheet

IF YOU...	YOU FILE...	YOUR TAX PASSES THROUGH TO...
Run a business alone with no formal entity	Nothing special	Your personal 1040 (Schedule C)
Registered a single-member LLC	Schedule C on your 1040	Your personal 1040
Registered a multi-member LLC	Form 1065	Partners report on K-1s
Filed to become an S-Corp	Form 1120-S	Shareholders report on K-1s
Registered a corporation (C-Corp)	Form 1120	The corporation itself (double taxation)

Action Step: Write your entity type in one sentence. Example: "I am a single-member LLC taxed as a sole proprietor." This sentence goes on every form you file.



Chapter 2: Match Your Income to the Right Form

Now that you know your entity type, let's map your business activity to the correct IRS form stack. This is where most business owners get lost. They know they made money. They know they have expenses. But they don't know which form those numbers belong on.

Here's the thing: the IRS doesn't want to see a spreadsheet. They want to see specific forms with specific numbers in specific boxes. Your job is to know which boxes apply to you.

The Four Main Business Tax Forms

Form 1040 Schedule C — Profit or Loss From Business (Sole Proprietors)

This is the most common small business form. If you're a sole proprietor or a single-member LLC, you file Schedule C as part of your personal 1040 tax return. Your business income and expenses don't get a separate tax return. They ride along with your personal taxes.

Use Schedule C if:

- You work for yourself
- You have no formal business entity
- You have a single-member LLC

Form 1065 — U.S. Return of Partnership Income (Multi-Member LLCs)

Partnerships don't pay income tax at the entity level. Instead, the partnership files Form 1065 to report all income and expenses, then issues a Schedule K-1 to each partner. Each partner reports their share of the partnership income on their personal 1040.

Use Form 1065 if:

- You have a multi-member LLC that hasn't elected S-corp status
- You're in a general or limited partnership

Form 1120-S — U.S. Income Tax Return for an S-Corporation

S-corps also don't pay income tax at the entity level. The S-corp files Form 1120-S to report income, then issues Schedule K-1s to shareholders. The key difference from partnerships: S-corp shareholders who work for the company must receive a "reasonable salary" before taking distributions.

Use Form 1120-S if:

- You elected S-corp status for your LLC or corporation
- You want to reduce self-employment tax by paying yourself a salary

Form 1120 — U.S. Corporation Income Tax Return (C-Corps)

Standard corporations pay tax twice: once at the corporate level, then again on dividends paid to shareholders. This guide doesn't cover C-corps, but if you have one, you're filing Form 1120.

Side-by-Side Form Comparison

FEATURE	SCHEDULE C	FORM 1065	FORM 1120-S
Entity level tax	No	No	No
Requires K-1s	No	Yes	Yes
Self-employment tax	Yes, on net profit	Yes, on distributive share	Only on salary, not distributions
Deadline	April 15	March 15	March 15
Extension deadline	October 15	September 15	September 15
Quietest form to file	✓	✗	✗

Action Step: Write down which form stack applies to you. If you're a sole proprietor, it's "1040 + Schedule C." If you're a single-member LLC, it's "1040 + Schedule C." If you're a multi-member LLC, it's "Form 1065 + Schedule K-1." If you're an S-Corp, it's "Form 1120-S + Schedule K-1."



Chapter 3: Build Your Personal Tax Calendar

Every year, the IRS sends the same letters to the same small business owners: "You failed to file on time. You owe penalties. You failed to make estimated tax payments. You owe interest."

These letters aren't surprises. The IRS publishes their deadlines years in advance. The problem is that most business owners don't write them down until tax day — and by then, it's too late.

Here's your year-round tax calendar. Set reminders 14 days before every deadline. Not the day of. Fourteen days before.

Federal Deadlines by Entity Type

Sole Proprietors and Single-Member LLCs (Schedule C filers)

- **January 31:** Send 1099-NEC forms to contractors you paid \$600 or more in the previous year
- **April 15:** File your 1040 with Schedule C attached. Pay any remaining tax owed.
- **April 15:** Make your first quarterly estimated tax payment for the current year (Form 1040-ES)
- **June 15:** Second quarterly estimated tax payment
- **September 15:** Third quarterly estimated tax payment
- **January 15 (following year):** Fourth quarterly estimated tax payment

Multi-Member LLCs and S-Corps (Form 1065 and 1120-S filers)

- **January 31:** Send 1099-NEC forms to contractors
- **March 15:** File Form 1065 (partnerships) or Form 1120-S (S-corps). File extensions if needed.
- **March 15:** Issue Schedule K-1s to all partners or shareholders
- **April 15:** First quarterly estimated tax payment
- **June 15:** Second quarterly estimated tax payment
- **September 15:** Third quarterly estimated tax payment and extended filing deadline for partnerships
- **October 15:** Extended filing deadline for S-corps (if you filed Form 7004)

- **January 15 (following year):** Fourth quarterly estimated tax payment

How to Set Up Your Calendar System

Don't rely on your memory. Don't rely on an app you'll forget to open. Do this instead:

1. Open your phone's calendar app right now
2. Create an annual repeating event for every deadline above that applies to you
3. Set the reminder for 14 days before each date
4. Add one hour to each event for "prep time"
5. Block off the weekend before each deadline as your "tax work weekend"

If you use Google Calendar, set the reminder to notify you by email and phone. If you use Apple Calendar, use "alert" and set it for "2 weeks before."

Action Step: Right now, before you finish this chapter, open your calendar and add every applicable deadline. If you do nothing else from this guide, do this one thing.



Key Takeaways for Part 1

- ✓ **Your entity type determines everything.** Spend five minutes on the decision tree in Chapter 1. Write down your answer. It goes on every form.
- ✓ **Know your form stack by name.** "Schedule C" isn't optional jargon. It's the exact form you need.
- ✓ **Deadlines are published a year in advance.** Set calendar reminders 14 days before each one. Don't discover a deadline on the day it's due.

✓ **If your business made money, you have filing requirements.**

The IRS doesn't care that you're busy running your business. They care that you file.



Part 2: Your Entity-Specific Filing Playbook

Chapter 4: Filing as a Sole Proprietor — Schedule C From Scratch

If you're a sole proprietor, this chapter is for you. You file a Schedule C along with your personal 1040, and it's the most common small business tax form in America. That doesn't mean it's simple — but it is learnable.

Let's walk through it step by step.

What You'll Need Before You Start

Gather these documents before you open the form:

- Your profit and loss statement (P&L) for the year
- Your business bank and credit card statements
- Receipts for major purchases
- Mileage log if you used your car for business
- Home office measurements (if claiming that deduction)
- 1099 forms you received from clients
- Any 1099-NEC or 1099-MISC forms you sent to contractors

Schedule C Line by Line

The form has five parts. Here's what each section wants:

Part I: Income

This is straightforward. Add up all the money your business received in the tax year. This includes:

- Client payments (even if not on a 1099)
- 1099-NEC income from companies that paid you \$600+
- Any other business income

Line 1: Enter your gross receipts. Every dollar that came in. Line 2: Subtract returns and allowances (rare for most service businesses). Line 3: Your gross profit. Line 1 minus Line 2. Line 4: Enter cost of goods sold (if applicable — mostly for product-based businesses). Line 5: **Your gross income**. This is the number that matters.

Part II: Expenses

Here's where most sole proprietors either leave money on the table or make mistakes. Expenses reduce your taxable income, but the IRS wants proof.

Common deductible expenses for sole proprietors:

- Advertising (website ads, business cards, marketing)
- Car and truck expenses (mileage or actual expenses)
- Commissions and fees (payment processing fees, platform fees)
- Contract labor (1099 workers)
- Depreciation (equipment that lasts more than one year)
- Insurance (business liability, health if self-employed)
- Interest (business loan interest, not personal)
- Legal and professional services (accountant, attorney)
- Office expense (software, supplies, postage)
- Rent (vehicle rental, equipment rental, office space)
- Repairs and maintenance
- Supplies
- Taxes and licenses (business licenses, half of self-employment tax)
- Travel (business trips, not personal vacations)
- Utilities (business portion only)

Line 26: Add up all your expenses. This is your total deductions.

Part III: Cost of Goods Sold

Skip this unless you manufacture or resell products. If you provide services only, enter zero.

Part IV: Information on Your Vehicle

If you drove for business, you have two choices:

- 1. Standard Mileage Rate:** Multiply your business miles by the IRS rate (67 cents per mile for 2024). Keep your mileage log.
- 2. Actual Expenses:** Add up gas, insurance, repairs, registration, and depreciation. Multiply by the percentage of business use.

Line 29: Check the box for your chosen method. Line 30: Enter your business miles (standard mileage) or business use percentage (actual expenses).

Part V: Other Expenses

Anything not covered in Part II goes here. Common entries:

- Bank fees
- Professional licensing
- Continuing education
- Home office expenses (though you can also use Form 8829)

Calculating Your Net Profit

Line 31: Gross income (Line 5) Line 32: Total expenses (Line 26)
Line 33: Net profit before other expenses Line 34: Other expenses (Line 30 from Part V) Line 35: **Net profit**. This number goes on your 1040.

If Line 35 is positive, you owe income tax on it. If Line 35 is negative, you have a business loss (deductible against other income).

Action Step: Open a blank Schedule C right now. Fill in Part I with your gross receipts. You don't need to finish today, but you need to start. Momentum beats perfection.

Chapter 5: Understanding Self-Employment Tax — Why You Pay More Than Employees

Here's the thing about being self-employed: employees split their Social Security and Medicare taxes with their employer. You pay both halves. That's the self-employment tax, and it's 15.3% on net self-employment income.

The good news: you get to deduct half of it. The IRS treats that deduction as if your employer was paying their share.

How Schedule SE Works

After you finish Schedule C, you calculate self-employment tax on Schedule SE.

Step 1: Enter your Schedule C net profit (Line 35).

Step 2: Multiply by 0.9235. This accounts for the fact that you don't pay SE tax on your first \$400 or so of earnings, and it adjusts for the employer-employee split.

Step 3: Multiply by 0.153. That's your self-employment tax.

Step 4: Divide by 2. That's your deduction. Enter it on Form 1040.

Example

You made \$60,000 in net profit on Schedule C.

- $\$60,000 \times 0.9235 = \$55,410$
- $\$55,410 \times 0.153 = \$8,477.73$
- Your SE tax is \$8,477.73
- Your deduction is \$4,238.87

You report \$60,000 as income on your 1040, but you also subtract \$4,238.87, so your taxable income is \$55,761.13. The government essentially shares the pain of the SE tax with you — they take less income tax to make up for the SE tax you paid.

Quarterly Estimated Taxes: Are You On Track?

If you had a job with a W-2, taxes were withheld from every paycheck. As a sole proprietor, there's no automatic withholding. You need to pay the IRS four times a year.

Use Form 1040-ES to calculate your quarterly payments. The form has a worksheet that estimates your annual tax liability based on your expected income, then divides it into four equal payments.

Are your quarterly payments on track?

Add up your quarterly payments for the year. Add up your SE tax (from Schedule SE) plus your estimated income tax. Divide by four.

If your quarterly payments don't add up to at least 90% of your total tax liability (or 100% of last year's liability, whichever is smaller), you may face underpayment penalties when you file.

Action Step: Calculate your SE tax from last year's Schedule C. Divide by four. Are you making quarterly payments at least that large? If not, adjust now.



Chapter 6: The Single-Member LLC — Same Form, Different Protection

A single-member LLC gives you one thing a sole proprietor doesn't: liability protection. Your personal assets are separated from your business debts and lawsuits. That's valuable. But from the IRS's perspective, you're taxed exactly like a sole proprietor.

This confuses a lot of people. They form an LLC, start a business bank account, and then wonder why their taxes look the same as before. Here's why: a single-member LLC is a "disregarded entity" for federal tax purposes. The IRS doesn't see the LLC. They see you.

How to File Your Single-Member LLC Taxes

Option 1 (most common): File Schedule C with your personal 1040. Your LLC income and expenses flow through to your personal return. You pay income tax and self-employment tax on the net profit.

Option 2 (less common): Elect S-corp status by filing Form 2553. This allows you to pay yourself a salary and take distributions, reducing your self-employment tax. Most single-member LLCs don't need this, but high-income service providers sometimes benefit.

The Business Bank Account Question

You're required to keep your business finances separate from your personal finances if you have an LLC. This isn't just good practice — it's the law in most states, and mixing funds can pierce your liability protection.

Open a business checking account. Use it for all business income and expenses. Don't pay your personal groceries from your business account, even if you're the only owner and the only employee.

Action Step: If you have an LLC but haven't opened a separate business bank account, do it this week. Your liability protection is only as strong as your separation between personal and business finances.

Chapter 7: Multi-Member LLCs and Partnerships — Filing Form 1065

When you have two or more owners in an LLC, the IRS treats you as a partnership by default. That means you file Form 1065, the partnership return. But here's the critical point: the partnership doesn't pay income tax. The partnership is a pass-through entity.

How Form 1065 Works

Step 1: The partnership reports all income and expenses on Form 1065.

Step 2: The partnership calculates each partner's share of income and deductions.

Step 3: Each partner receives a Schedule K-1 showing their share.

Step 4: Each partner reports their K-1 income on their personal 1040.

Understanding Partner Distributions vs. Guaranteed Payments

Two ways partners get money from a partnership:

- 1. Distributions:** Share of the partnership's profits. Not taxable to the partner separately — they're already taxed on their share of profit through the K-1.
- 2. Guaranteed Payments:** Set payments to a partner for services or capital, regardless of profits. These are taxable to the partner as ordinary income.

Most small partnerships use distributions only. If you're receiving guaranteed payments, your operating agreement should spell out the details.

Your Schedule K-1

You'll receive a K-1 from your partnership showing:

- Your ownership percentage
- Your share of ordinary business income
- Your share of separately stated items (capital gains, charitable contributions, etc.)
- Your share of qualified business income (for the 20% pass-through deduction)

This K-1 information flows directly to your Form 1040. You don't get to choose what to report — the numbers are assigned to specific lines based on IRS instructions.

Action Step: If you're a partner in a multi-member LLC, request a draft of your Schedule K-1 from your fellow members or accountant before the March 15 deadline. K-1s are due to partners by that date. Don't wait until April to find out your tax numbers.



Key Takeaways for Part 2

✓ **Schedule C is simple but not easy.** Start with Part I (income), then Part II (expenses). The net profit on Line 35 is the number that matters.

✓ **Self-employment tax is 15.3%, but you deduct half of it.**

Calculate it on Schedule SE after finishing Schedule C.

✓ **Your single-member LLC is taxed like a sole proprietor.** Liability protection is separate from tax treatment.

✓ **Multi-member LLCs file Form 1065, but each partner pays tax personally.** You receive a K-1. The partnership doesn't pay income tax.

✓ **Open a business bank account.** This is non-negotiable for LLCs. Mixed finances can destroy your liability protection.



Part 3: Every Deduction You Should Be Taking

Chapter 8: Home Office Deduction — Simplified vs. Regular Method

Here's a deduction that sounds too good to be true: you can deduct a portion of your home expenses simply because you work there. And the IRS actually lets you do it. But there are two ways to claim it, and they produce very different results.

The Simplified Method

The IRS offers a quick way out: \$5 per square foot of your home office, up to 300 square feet. Maximum deduction: \$1,500.

If your home office is 200 square feet, you deduct \$1,000. Done. No forms, no receipts, no calculations.

Use this method if:

- Your home office is small (under 200 square feet)
- You don't want to track every utility bill and home insurance payment
- Your actual home expenses are modest

The Regular Method (Form 8829)

The regular method calculates your actual home office deduction based on the percentage of your home used for business.

Formula: (Home office square footage ÷ Total home square footage) × Total home expenses

Home expenses that qualify:

- Mortgage interest or rent
- Property taxes
- Utilities (electric, gas, water, internet)
- Homeowners insurance
- Repairs and maintenance
- Depreciation (if you own)

Example: Your home is 2,000 square feet. Your office is 400 square feet (20%). Your total home expenses are \$30,000.

Your home office deduction: $\$30,000 \times 20\% = \$6,000$

Use this method if:

- Your home office is a significant portion of your home
- You have high home expenses
- You want to claim depreciation (which generates a larger deduction now but reduces your basis when you sell)

The Home Office Deduction Rules

You can only claim this deduction if your home office is:

- 1. Exclusive:** Used only for your business. Not a guest room. Not where you also watch TV.
- 2. Regular:** Used consistently, not occasionally.
- 3. Principal:** Your main place of business, or where you meet clients/customers regularly.

If you have a separate office outside your home but occasionally work from your kitchen table, you don't qualify for the home office deduction.

Action Step: Measure your home office. Calculate both methods. Pick the one that gives you a higher deduction, and keep records of your calculation.

Chapter 9: Vehicle Expenses — Two Methods, One Choice

If you drive for business — and most small business owners do — you can deduct those miles. But the IRS makes you choose between two methods, and you can't switch between them year to year without permission.

Method 1: Standard Mileage Rate

Multiply your business miles by the IRS rate. For 2024, that's 67 cents per mile.

Pros:

- No need to track every expense
- Simple calculation
- Good if your car is fuel-efficient or you're not paying much for insurance and repairs

Cons:

- You can't claim actual depreciation
- If you have a gas-guzzler or expensive maintenance, you might leave money on the table

Requirement: You must keep a mileage log. Date, destination, business purpose, miles driven.

Method 2: Actual Expense Method

Track every car-related expense and allocate the business portion.

Expenses to track:

- Gas and oil
- Insurance
- Registration and fees
- Repairs and maintenance
- Tires

- Depreciation (significant in early years)

Formula: $(\text{Business miles} \div \text{Total miles}) \times \text{Total expenses}$

Example: You drove 15,000 business miles out of 25,000 total miles (60%). Your total car expenses were \$10,000.

Deduction: $\$10,000 \times 60\% = \$6,000$

Pros:

- Can be larger if you have an expensive car or high maintenance costs
- Claims actual depreciation

Cons:

- Requires meticulous record-keeping
- Must track every mile, both business and personal

Which Method Should You Use?

Calculate both for the year, then choose the larger deduction. Most service-based businesses with moderate mileage find the standard mileage rate simpler and comparable. Construction, delivery, and real estate professionals often do better with actual expenses.

Action Step: Download a mileage tracking app today (MileIQ, Stride, and TripLog are popular). Start tracking your business drives immediately. You can't reconstruct this at tax time.

Chapter 10: Other Deductions You're Probably Missing

Beyond home office and vehicle deductions, here are the deductions most small business owners either don't know about or forget to claim.

Business Meals (50%)

You can deduct 50% of business meal expenses if:

- You're meeting with a client, customer, or business associate
- The meal is not lavish or extravagant
- You discuss business during or immediately before/after the meal

Restaurant meals qualify. Groceries for home consumption generally do not (unless traveling away from home).

Keep the receipt. Record who you met, the business purpose, and the date.

Equipment and Supplies

Anything you buy for your business is deductible, but the timing matters:

- **Under \$2,500 per item:** Deduct immediately as a supply expense
- **\$2,500 or more:** Must be depreciated over several years (Section 179 allows immediate expensing for some equipment — ask your CPA)

Common equipment deductions:

- Computers and software
- Office furniture
- Cameras and equipment
- Machinery and tools

- Professional instruments

Retirement Contributions

As a self-employed person, you can contribute to:

- **SEP-IRA:** Up to 25% of net self-employment income, maximum \$66,000 (2024)
- **Solo 401(k):** Up to \$66,000 (2024) including employer and employee contributions
- **SIMPLE IRA:** Up to \$16,000 employee contribution, plus 3% employer match

These contributions are deductible and reduce your taxable income. A \$10,000 retirement contribution saves you \$2,200 in taxes if you're in the 22% bracket.

Health Insurance Premiums

If you're self-employed and not eligible for a spouse's employer plan, you can deduct 100% of your health insurance premiums as an adjustment to income. This isn't a business deduction — it's taken directly on your Form 1040 — but it reduces your taxable income dollar for dollar.

Professional Services

Fees paid to your CPA, attorney, bookkeeper, and other professional services are fully deductible. This includes:

- Tax preparation and planning
- Legal fees (for business matters)
- Accounting and bookkeeping

- Business consulting

Business Interest

Interest on business loans and business credit cards is deductible. Personal interest is not. Keep your business debt separate from personal debt.

Education and Training

If you take a course or attend a conference that maintains or improves skills required in your current business, it's deductible. Courses that qualify you for a new career are not deductible.



Key Takeaways for Part 3

- ✓ **Home office deduction:** \$5 per square foot (simplified) or actual expenses × business percentage (regular). Calculate both, take the larger.
- ✓ **Vehicle deduction:** Calculate both methods annually. Track every business mile from day one.
- ✓ **Business meals:** 50% deductible if business-related. Keep receipts with notes.
- ✓ **Retirement contributions reduce your tax bill.** A \$10,000 contribution could save you \$2,000 or more depending on your bracket.
- ✓ **Health insurance premiums:** Fully deductible if self-employed and not eligible for employer coverage.
- ✓ **Track everything.** You can't deduct what you can't prove. Receipts, logs, and records are your friend.



Part 4: Estimated Taxes and Year-Round Strategy

Chapter 11: Making Quarterly Estimated Tax Payments

Here's the most common tax mistake self-employed people make: they wait until April to pay their taxes. By then, they've spent all the money. Now they're scrambling to find cash to send to the IRS, often with penalties added on top.

The solution is simple: pay as you go. The IRS wants four payments a year, not one lump sum.

Who Must Make Estimated Payments

You must pay quarterly estimated taxes if you expect to owe \$1,000 or more when you file.

This applies to:

- Sole proprietors
- Partners in LLCs
- S-Corp shareholders
- Anyone with significant self-employment income

If you had a W-2 job and also have self-employment income, you might be able to rely on your W-2 withholding to cover your tax bill. But if self-employment is your primary income, estimated payments are required.

How to Calculate Your Payments

Form 1040-ES has a worksheet. Here's the short version:

1. Estimate your net self-employment income for the year
2. Calculate your expected self-employment tax (net income × 92.35% × 15.3%)

3. Add your expected income tax (use last year's liability as a baseline)
4. Divide by four

Payment deadlines:

- Q1: April 15
- Q2: June 15
- Q3: September 15
- Q4: January 15 of the following year

How to Make Payments

The IRS prefers electronic payments:

- **IRS Direct Pay:** Free, instant, direct from your bank account
- **EFTPS:** Requires enrollment but lets you schedule payments in advance
- **Credit/debit card:** Fees apply (2-3%)

You can also mail a check with Form 1040-ES voucher, but electronic payments are faster and more reliable.

What Happens If You Don't Pay Enough

If your payments fall short, the IRS charges interest on the underpayment. The interest rate is currently around 8% annually — higher than most loans.

The penalty is calculated based on how much you underpaid and for how long. The IRS will send you a notice after you file showing any underpayment penalty.

Safe harbor rules: You won't face penalties if:

- You pay at least 90% of this year's tax liability, OR
- You pay at least 100% of last year's tax liability (110% if your AGI was over \$150,000)

Action Step: Log in to IRS Direct Pay right now and schedule your next quarterly payment. Don't wait for the deadline to arrive.

Chapter 12: Record-Keeping That Actually Works

The IRS requires you to keep records that support your income and deductions. But you don't need to keep everything forever, and you don't need to be a filing clerk. Here's a practical system.

What to Keep

Income records (keep 7 years):

- Bank statements showing deposits
- 1099 forms from clients
- Invoices and payment records
- Sales records

Expense records (keep 7 years):

- Receipts for purchases over \$75
- Credit card statements (highlight business charges)
- Mileage logs
- Home office calculations

Employment tax records (keep 4 years):

- Payroll records if you have employees
- 941 filings
- W-2 and 1099 forms you issued

What You Don't Need to Keep

- Receipts for expenses under \$75 (but document what they were)
- Canceled checks for expenses you have credit card records for

- Records for assets that are fully depreciated (but keep the depreciation schedule)

A Simple Filing System

Don't overcomplicate this. Every month:

1. Download your business bank and credit card statements
2. Create a folder for the month (digital or physical)
3. Save or file receipts in that folder
4. Make notes on receipts explaining the business purpose
5. Reconcile with your bookkeeping (even if it's just a spreadsheet)

Year-end:

1. Your folder for each month becomes your tax file
2. Add your P&L and tax forms to each monthly folder
3. Keep everything for seven years from the filing date

Action Step: Create 12 folders (one for each month) in your filing system or cloud storage. Put this year's receipts here from now on. This is the system.



Chapter 13: When to Hire a Professional

This guide gives you everything you need to file your own small business taxes. But sometimes you need backup.

Hire a CPA If:

Your situation is complex. Multiple income streams, rental properties, significant investments, or business ownership in multiple entities all add complexity. A CPA is worth the fee.

You got a notice from the IRS. Don't try to handle an audit or notice alone. CPAs deal with the IRS regularly and know how to respond correctly.

You're starting a new entity. Choosing between LLC, S-corp, and C-corp has long-term tax implications. Get professional advice before you file, not after.

You made money and didn't pay quarterly taxes. A CPA can help you calculate catch-up payments and avoid penalties going forward.

Your business is growing. When you start hiring employees, need payroll, or cross \$250,000 in revenue, complexity explodes. Get help before it overwhelms you.

What to Look for in a CPA

- **Small business experience:** Tax professionals who work with individuals won't know the forms you need. Find someone who works with businesses like yours.
- **Proactive communication:** You want someone who contacts you before deadlines, not after.
- **Transparent pricing:** Get a flat fee quote upfront for your annual filing. Hourly billing can spiral.
- **Availability:** Can you reach them when you have questions? Or do they disappear after April 15?

What a CPA Costs

For a simple sole proprietor with Schedule C: \$300-\$800 annually.
For an LLC with multiple members: \$1,000-\$3,000. For an S-corp with payroll: \$2,000-\$5,000.

These are estimates — prices vary by location and complexity. But if you're paying more than \$10,000 for a small business return, you're probably overpaying.

Action Step: If you've been filing alone and your business has grown past \$100,000 in revenue, schedule a consultation with a CPA. Just one meeting can catch problems before they become penalties.

Chapter 14: Your Year-Round Tax Strategy

Taxes shouldn't be something you think about once a year. Here's how to manage your tax situation continuously.

Monthly Habits

- **Track income and expenses** in real time (not quarterly)
- **Review your profit/loss** monthly — surprises at tax time mean you weren't paying attention
- **Save for taxes** as you earn. Set aside 25-30% of every payment you receive

Quarterly Check-Ins

Every quarter, ask yourself:

1. Did my income change significantly? Adjust estimated payments.
2. Did I buy any major equipment? Consider Section 179 expensing.
3. Am I on track for retirement contributions? Max them out by year-end.
4. Are my records organized? Clean up receipts and categorize expenses.

Year-End Planning (October-December)

Before the year ends, do these things:

- **Maximize retirement contributions** (you have until the filing deadline, but December contributions reduce your previous year's income)
- **Buy needed equipment** (depreciation or Section 179 expensing)
- **Review your income** with your accountant to decide whether to accelerate or defer income
- **Give to charity** if you want to itemize deductions

- **Harvest investment losses** to offset gains

Tax Planning vs. Tax Compliance

Most people think of their accountant as a compliance professional — someone who makes sure the numbers are right. But the best accountants are also planners. They help you make decisions throughout the year that reduce your tax bill.

If your current accountant only talks to you in January through April, find a new one. You want someone who thinks about your taxes year-round.

Action Step: Schedule a tax planning meeting for November. Bring your year-to-date income and expenses. Ask: "What can I do before December 31 to reduce my tax bill?" That one hour could save you thousands.



Conclusion: From Overwhelmed to Confident

Tax season doesn't have to feel like a trap you walk into every spring. The business owners who file with confidence aren't smarter than you — they just know the system better.

Here's what you now know:

Your entity type determines everything. Identify it, own it, and file accordingly.

Each form has a purpose. Schedule C, Form 1065, Form 1120-S — they're not arbitrary. They match your business structure.

Deadlines are solvable. Write them down, set reminders, and never miss one again.

Deductions are real. Home office, vehicle, meals, retirement, health insurance — these aren't loopholes. They're the law. Take them.

Pay as you go. Quarterly estimated taxes aren't punishment. They're how you avoid a April scramble.

You now have the knowledge to file your own taxes with confidence. But knowing isn't doing.

Here's your next step:

Download the **Tax Filing Checklist for Business Owners** — the companion action guide that turns everything in this book into a step-by-step workflow. It has the decision trees, the form numbers, the deadline calendar, and the checklists you need to complete your filing without missing a single deduction or deadline.

You didn't start your business to become an accountant. But understanding your taxes is part of owning a business. And now, you do.



Key Takeaways for Part 4

- ✓ **Quarterly estimated payments prevent April surprises.** Pay four times a year, not once at year-end.
- ✓ **Keep records monthly, not annually.** Twelve folders, one per month, with receipts and statements.
- ✓ **Hire a CPA when complexity exceeds your capacity.** It's cheaper than IRS penalties.
- ✓ **Tax planning is year-round.** October through December is when you can still make moves that affect this year's return.
- ✓ **Use the companion checklist.** This guide taught you *why*. The checklist tells you *what to do next*.



This guide is for informational purposes and does not constitute tax advice. Tax laws change frequently. Consult a licensed tax professional for guidance specific to your situation.